



THE FINANCIAL  
BUDDY

MONTHLY DIGEST

# Market Pulse

Gold's Debasement Rally Meets a Hawkish Fed  
August 2026: How a Jackson Hole Pivot and a Hormuz Oil Shock  
Rewired Global Markets

**AUGUST 2026**

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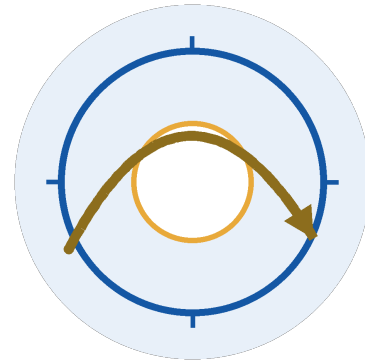
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# GLOBAL MARKETS

## The Throughline

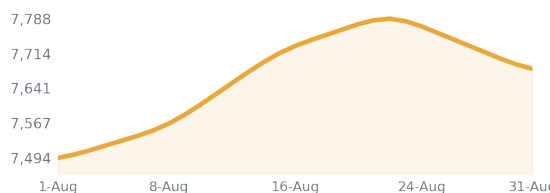
For most of August, a revived 'debasement trade' sent gold and silver soaring after the US Treasury doubled its long-bond buybacks. Then Fed Chair Kevin Warsh's hawkish Jackson Hole speech and fresh US-Iran strikes near the Strait of Hormuz flipped the script — reviving rate-hike bets, lifting oil, and unwinding much of the metals rally into month-end.



## Global Indices

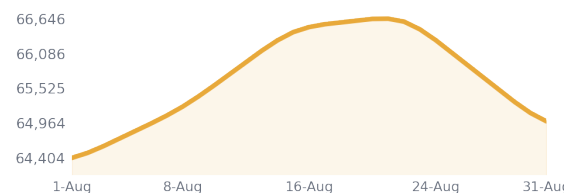
### S&P 500 (US)

+2.50%



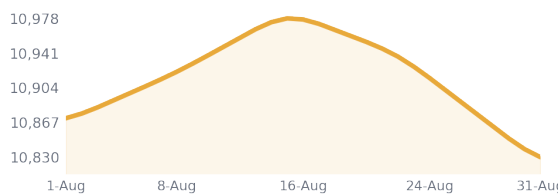
### Nikkei 225 (JP)

+0.86%



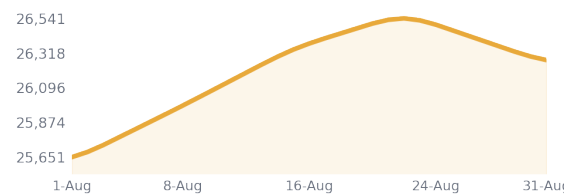
### FTSE 100 (UK)

-0.40%



### DAX (DE)

+2.45%



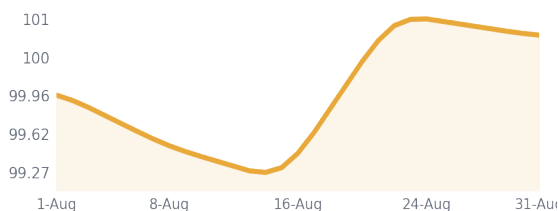
Source: NSE, Yahoo Finance, Trading Economics.

# CURRENCY

The dollar chopped higher through August as Treasury's bond-buyback plan first weakened it on debasement fears, then Warsh's hawkish Jackson Hole turn and rising Fed rate-hike odds pulled it back up. The rupee stayed comparatively steady, supported by RBI intervention and easing crude prices for most of the month.

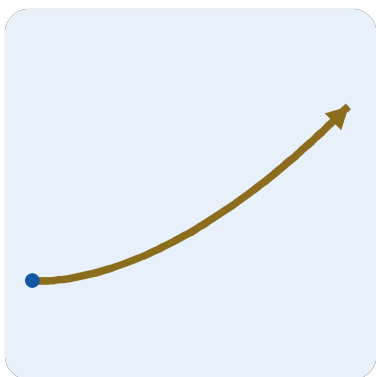
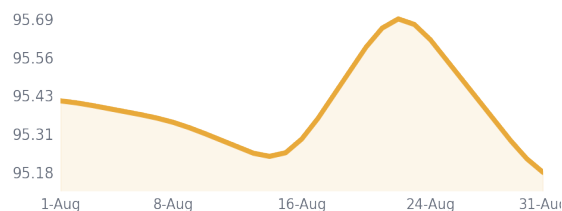
**US Dollar Index (DXY)**

+0.50%



**USD/INR Currency Pair**

-0.28%

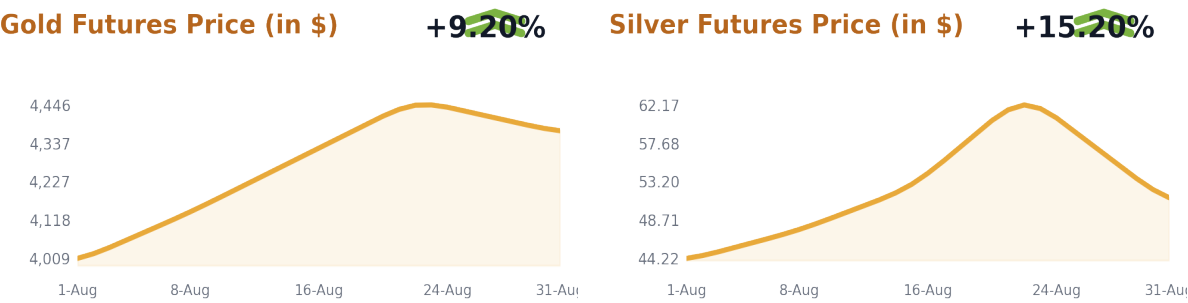


## India's Forex Reserve

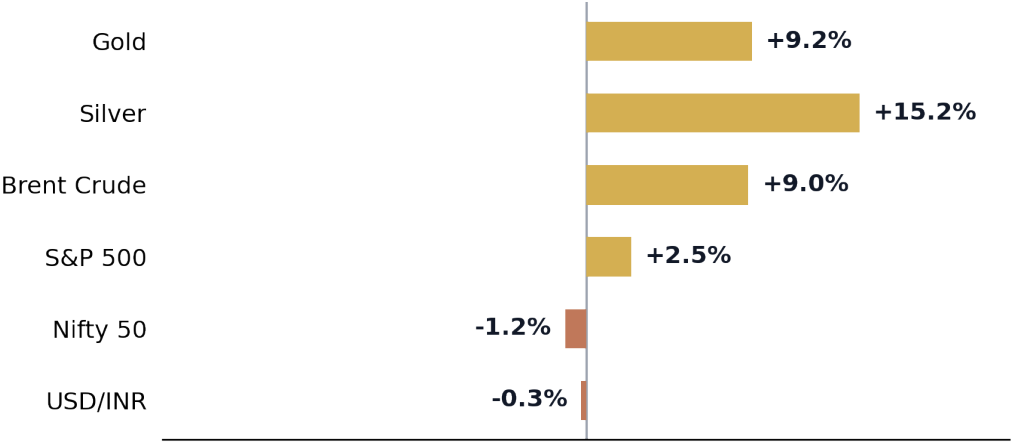
The rupee held a relatively tight band for most of August even as global rate expectations swung sharply, with RBI intervention and softer crude prices through mid-month offsetting the drag from renewed dollar strength after Jackson Hole. It ended the month roughly 0.3% stronger against the dollar, closing near a multi-week high as crude eased slightly off its highs.

# COMMODITIES

Gold and silver posted their strongest month since January as the Treasury's bond-buyback announcement reinforced the 'debasement trade' narrative — but both gave back a chunk of those gains in the final week as Warsh's hawkish tone and a Strait of Hormuz flare-up put rate hikes back on the table.



## Monthly Return by Asset Class



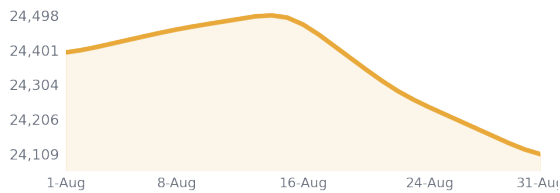
Monthly return by asset class.

# INDIAN INDICES

Nifty and Sensex snapped a two-month winning streak, ending August in the red as high crude prices and renewed Middle East tensions capped the market's tightest monthly range in nearly a year. Banks and IT held up relatively better while metals, telecom and FMCG lagged.

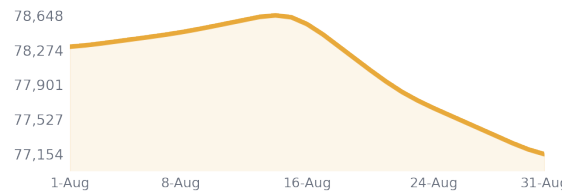
## NIFTY 50

-1.19%



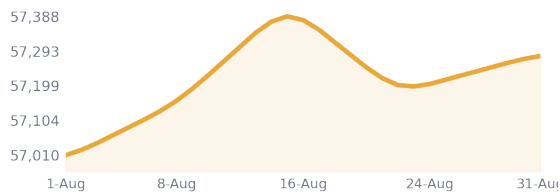
## SENSEX

-1.51%



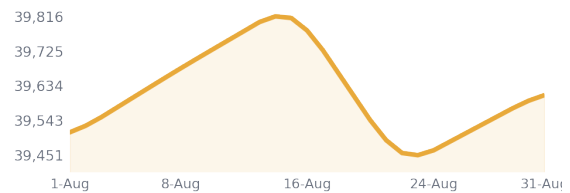
## NIFTY Bank

+0.50%



## NIFTY IT

+0.30%



Index paths for the month.

# EQUITIES & FLOWS

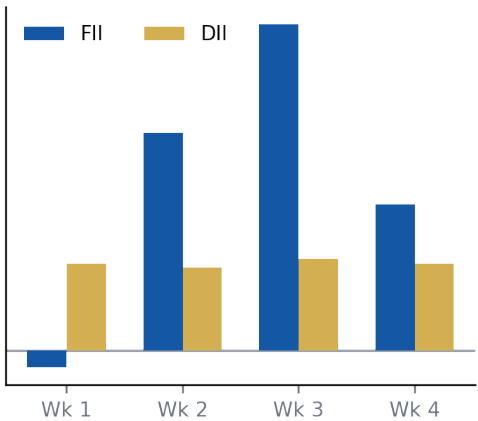
## Top Gainers | NIFTY 50

| Company Name                | Change (%) |
|-----------------------------|------------|
| Eternal Ltd.                | +15.7      |
| Jio Financial Services Ltd. | +11.5      |
| Trent Ltd.                  | +11.1      |
| Bharti Airtel Ltd.          | +9.1       |
| Bharat Electronics Ltd.     | +7.9       |

## Top Losers | NIFTY 50

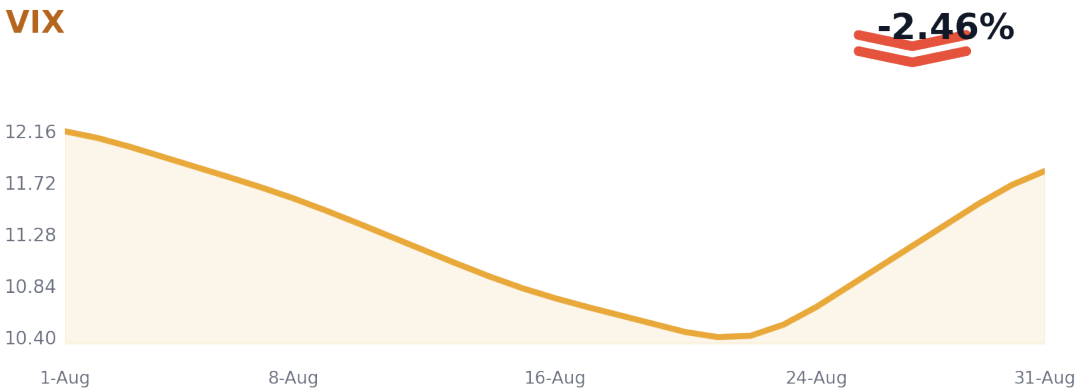
| Company Name             | Change (%) |
|--------------------------|------------|
| Asian Paints Ltd.        | -5.5       |
| NTPC Ltd.                | -5.2       |
| Kotak Mahindra Bank Ltd. | -3.5       |
| Eicher Motors Ltd.       | -2.6       |
| Shriram Finance Ltd.     | -2.0       |

## FII vs DII Flows (₹ Cr)



FIIs stayed net buyers in August for a second straight month, deploying roughly Rs 30,900 crore through primary and secondary markets even amid bouts of selling around the Jackson Hole and Hormuz-driven volatility. DIIs continued their steady, uninterrupted buying throughout.

## India VIX



# EVENTS ARCHIVE

08 August 2026

| Monday | Tuesday | Wednesday | Thursday | Friday | Saturday | Sunday |
|--------|---------|-----------|----------|--------|----------|--------|
|        |         |           |          |        | 1        | 2      |
| 3      | 4       | 5         | 6        | 7      | 8        | 9      |
| 10     | 11      | 12        | 13       | 14     | 15       | 16     |
| 17     | 18      | 19        | 20       | 21     | 22       | 23     |
| 24     | 25      | 26        | 27       | 28     | 29       | 30     |
| 31     |         |           |          |        |          |        |

## Indian Events

3

### NSE Rolls Out New Closing Auction Session

The new closing-price mechanism sparked unusual swings, most notably during the Aug 27 Sensex derivatives expiry.

5

### RBI Holds Repo Rate at 5.25%, Lifts Growth Forecast

The MPC kept rates unchanged for a fourth straight review and raised its FY27 GDP forecast to 6.7%.

12

### July Retail Inflation Cools to 4.45%

Headline CPI stayed comfortably within the RBI's tolerance band, aligning with market expectations.

## Global Events

19

### US Treasury Doubles Long-Bond Buybacks

The move to steady long-term yields reinforced the 'debasement trade' narrative that drove gold and silver higher.

28

### Fed Chair Warsh Opens Door to a Rate Hike at Jackson Hole

Warsh called inflation 'concerning,' pushing September hike odds to near a coin flip from about one-third.

31

### US-Iran Strikes Near Strait of Hormuz Reignite Oil Fears

Renewed military action between the US and Iran pushed Brent crude above \$90 a barrel and revived concerns over inflation and global energy supply.



# OPINION POLL

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*I stand here today committed to a discipline, not to a decision.*

— Kevin Warsh, Federal Reserve Chair, Jackson Hole, Aug 28, 2026

*Based on Treasury Department statements, market participants believe the government bond market interference may get even more aggressive.*

— Bart Melek, Head of Commodity Strategy, TD Securities

*One institution has a tightening bias, the other a loosening bias, aimed at the same curve.*

— Nicky Shiels, Head of Research and Metals Strategy, MKS PAMP

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